

Executive Summary

Customer Engagement & Product Utilization Analytics for Retention Strategy — The European Central Bank

Retail banking customers do not churn because they lack money — they churn because they disengage. This analysis of 10,000 customer relationships shows that activity level and product depth predict churn far more reliably than balance or salary, and identifies a specific, high-value blind spot: premium customers who are quietly disengaging.

Headline Numbers

Metric	Value
Overall churn rate	20.4%
Churn rate — inactive customers	26.9%
Churn rate — active customers	14.3%
Engagement Retention Ratio	1.88x
Stickiest segment (2 products, active)	7.6% churn
At-risk premium customers (top-quartile balance, inactive)	1,247 customers, 30.5% churn
Highest-churn geography	Germany (32.4%)
Highest-risk age band	50–60 years (56.2% churn)

What This Means

- Activation beats acquisition: reactivating inactive customers addresses a bigger churn lever than signing new ones.
- Two products is the retention sweet spot — beyond that, churn rises sharply and should be investigated as a sales-quality issue, not treated as a cross-sell target.
- Wealth is not loyalty: high balances do not protect against churn without engagement — an 'at-risk premium' segment of ~1,250 customers needs a dedicated relationship-management track.
- Germany and the 40–60 age band are the two clearest priority segments for immediate retention investment.

Recommended Next Steps

- Stand up a monthly 'at-risk premium' watch-list for relationship managers.
- Redesign cross-sell targets around the 2-product profile rather than raw product count.
- Commission a Germany-specific root-cause review of pricing, service, and competitive pressure.
- Pilot a re-engagement campaign for inactive members aged 40–60 and measure churn-rate impact against a control group.

Full methodology, charts, and KPI definitions are available in the accompanying Research Paper and live Streamlit dashboard.